

Pre-Class Response for Lecture 14:

Consider the following examples:

1. The UK left the EU in 2020, while 27 countries remained in the EU. What is the effect of belonging to the EU on GDP?
2. In the 1960's, there was an outbreak of terrorism in the Basque region of Spain. Other regions did not have terrorist attacks. What is the effect of terrorism on the per capita GDP of a region?
3. In 1989, California passed a proposition that heavily taxed tobacco products. Other states did not. What is the effect of anti-smoking legislation on the prevalence of smoking?
4. In 1980, the city of Miami FL experienced an influx of immigrants from Cuba. Other cities did not. What is the effect of immigration on wages for natives?

All of these examples have a common structure: They are a class of units who are treated for some time period(s), while other units are not treated or are treated in different time periods. For each of the four examples above, think about what are the units, what is the treatment, and which units are treated and when (you don't need to write anything down for this part, just think about it).

It might be tempting to get at the treatment effects in these examples by comparing treated units to non-treated units. However, in all of these examples, the treated units are different from non-treated units (they are treated at a different time, they come from a different population, etc). Think of at least one way you might try to correct for this. In at most two paragraphs, describe what that correction would look like for at least one of the examples above.